

KEY TERMINOLOGY

ECONOMY



- Inflation
- WPI Inflation
- CPI Inflation

MODULE - 15

- Types of Inflation
- Fiscal Policy
- Monetary Policy

INFLATION



- 1 It is the situation of increase in the general price level over a period of time.
- 2 Deflation is opposite of inflation.
- 3 Every country faces inflation during the process of its growth and development.
- 4 Normally rise in price is calculated in comparison to the same period of previous year and the base of the index is set to a specific year.
- 5 If aggregate demand for goods and services exceeds aggregate supply, then prices will rise.

INFLATION

1 . CPI INFLATION

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2 . WPI INFLATION

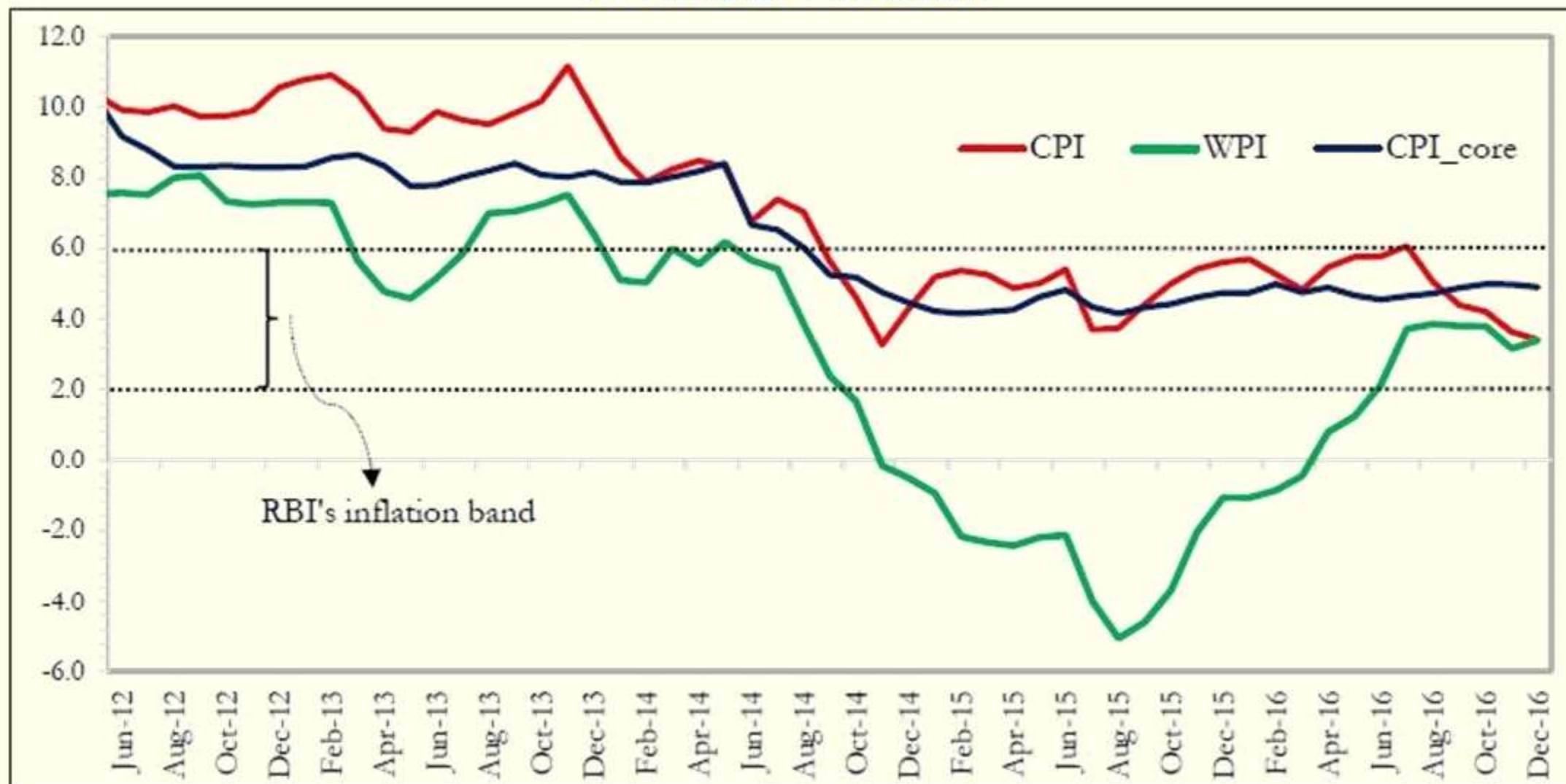
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REVIEW OF 2016-17

WPI and CPI Inflation



Source: CSO

REASONS FOR CPI-WPI DIVERGENCE



Source: CSO

The divergence between CPI and WPI widened to 7.8% points during January 15 to October 15. Now the Government changed the base year to 2011-12 for WPI also inline with CPI.

- 1** Food / related articles have a higher weightage of around 48% in CPI, while in WPI, they contribute just 24%.
- 2** Fuel and power have got higher weightage of around 15% in WPI, where as in CPI it is 7%. Not only that, what is included under fuel and power also differs very much.
- 3** There are certain items, which figure in CPI, broadly treated as “services” which contribute to around 28% in CPI, where they does not appear in WPI

KEY TERMINOLOGY IN ECONOMY



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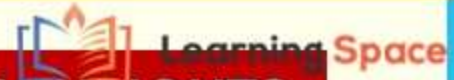


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WHOLESALE PRICE INDEX (WPI)

- 1 The Wholesale Price Index (WPI) series in India has undergone seven revisions since 1952-53.
- 2 The seventh revision of May 2017 not only shifted the base year to 2011-12, but also changed the basket of commodities by assigning new weights to the commodities.
- 3 It is done as per the usual practice of doing revision on the advice of a Working Group.
- 4 The Working Group in this case was led by the late Dr. Saumitra Chaudhuri, Member, erstwhile Planning Commission.
- 5 Now, for the new series of base 2011-12, the index is 100.

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WPI NEW SERIES ... MAJOR HIGHLIGHTS

- 1 This will continue to constitute three major groups, namely **Primary Articles, Fuel and Power and Manufactured Products**.
- 2 Updated item basket and weighting structure conform to the structure of economy in 2011-12.
- 3 It increased the number of items from **676 to 697**.
- 4 In all, 199 new items have been added and 146 old items have been dropped.
- 5 The new series is more representative with increase in number of quotations from 5,482 to 8,331 (an increase of 52%).

NEW FEATURES OF WPI - 2011-12

1

NO INDIRECT TAXES

- It does not include indirect taxes.
- This is to remove impact of fiscal policy.
- This is in consonance with international practices.
- This will make the new WPI conceptually closer to Producer Price Index.

2

WPI FOOD INDEX

- This is with a view to capture the rate of inflation in food items.
- It is by combining the Food Articles under Primary Articles and Food Products under Manufactured Products.
- Together with the Consumer Food Price Index released by Central Statistics Office, this would help monitor the price situation of food items better.

3

DYNAMIC REVIEW PROCESS

- A High Level Technical Review Committee has been set up for the first time to carry out dynamic review process in order to keep pace with the changing structure of the economy.

WPI ... MAJOR GROUP AND WEIGHTS

MAJOR GROUP	WEIGHTS	
	2004-05	2011-12
ALL COMMODITIES	100.0	100.0
PRIMARY ARTICLES	20.12	22.62
FUEL AND POWER	14.91	13.15
MANUFACTURED PRODUCTS	64.97	64.23



CPI INFLATION

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- 1 It measures changes over time in general level of prices of goods and services that **households acquire for the purpose of consumption.**
- 2 It is widely used as a **macroeconomic indicator of inflation.**
- 3 It is also used as a **tool by governments and central banks** for inflation targeting and for monitoring price stability, and as deflators in the national accounts.
- 4 CPI is also used for **indexing dearness allowance to employees for increase in prices.**
- 5 It includes **both goods as well as services.**

KEY TERMINOLOGY IN ECONOMY

CPI ... MAJOR GROUPS AND WEIGHTS

MAJOR GROUP	WEIGHTS IN %
FOOD & BEVERAGES	45.86
PAN, TOBACCO & INTOXICANTS	2.38
CLOTHING & FOOTWEAR	6.53
HOUSING	10.07
FUEL & LIGHT	6.84
MISCELLANEOUS	28.32

Price data are collected from selected towns by the Field Operations Division of NSSO and from selected villages by the Department of Posts. Price data are received through web portals, maintained by the National Informatics Centre.



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FISCAL POLICY

1. Capital Expenditure



2. Revenue Expenditure



MINISTRY OF
FINANCE

- These are the measures related to public expenditure, public revenues and public borrowing.
- It is the means by which a government adjusts its spending levels and tax rates to monitor and influence a nation's economy.
- This is the lookout of the Finance Ministry.

MONETARY POLICY



1. Demand for goods



2. More money in circulation



- These relate to circulation of money in the financial system.
- It determines the size and rate of growth of the money supply.
- It is to protect intrinsic value of the currency.
- This is the lookout of the RBI.
- It is to ensure price stability.
- It targets CPI Inflation as the anchor.

KEY TERMINOLOGY IN ECONOMY

TYPES OF INFLATION

TYPES OF INFLATION	INFLATION IN %
CREEPING INFLATION	1% - 3%
WALKING INFLATION	4% - 10%
RUNNING INFLATION	11% - 20%
GALLOPING INFLATION	21% - 50%
HYPER INFLATION	> 50% (Sometimes, much higher than this)



NOTE : These percentages are not sacrosanct and vary from source to source

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For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

OUR TEAM

G. V. Rao

D. Sunil Kumar

V. Dayakar James

Y. Sri Poojita

G. Ravi Babu

D. Joji

K. Victor Babu

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